Sterlite Technologies

STLTECH | NSE India | 2026-10-11

Q4 2027 model ceiling: INR 1,224.53

Analytical Base 44/60 = 73 | Optical growth and execution / Watchlist

20x rolling quarter plus next three quarters of fully expensed operating profit, less matched end-window net financial claims, divided by end-window fully diluted shares. INR throughout; contract and legal USD amounts use explicit constant INR94/USD planning assumption.

Coverage initiated at the owner's request. No holding was established by this research. Existing portfolio Base overrides remain protected.

All operating values are in INR million and shares in millions unless stated otherwise. Forecasts are analytical assumptions; issuer guidance and actual results are identified separately.

Writing-date snapshot: INR 1,015.20 per share (2026-10-09 NSE regular close,15:30 Asia/Kolkata); 514.057 million common shares (2026-09-10 exchange allotment filing); estimated equity capitalization INR 521,871.1 million. ISIN INE089C01029. July QIP plus September ESOP allotment gives514.057433m issued common shares.45.3m unconverted warrants excluded from quote capitalization, included in modeled shadow dilution. This dated common-share snapshot is separate from forecast diluted shares.

Growth or re-rating: 100% growth under the owner's sequential-percentage heuristic (0% re-rating / 100% growth). Uses the dated 2026-10-09 NSE regular close, 15:30 Asia/Kolkata price, Q4 2026 ceiling and Q4 2027 ceiling at the artifact's own valuation basis. This compares two percentage moves with different denominators; it is not an additive return attribution or a measurement of actual P/E expansion. The classification changes with price and forecasts.

Decision in the model

Active horizon	Earnings window	F4Q OP	Multiple	Diluted shares	Ceiling
Q4 2027	Q4 2027 through Q3 2028	34,884.3	20x	559.757	1,224.53

The ceiling is a model valuation, not a guaranteed trading price or a literal net-income P/E. Operating branches are weighted once. Where debt, preferred claims, conversion or equity floors make value nonlinear, the model values each coherent operating and funding state first, then weights those common-share outcomes.

Economic scope and matching claims

Consolidated fully expensed operating profit, excluding non-operating income and one-off reversals. Manufacturing depreciation, R&D and SBC included; financial claims include leases, interest-bearing customer advances and expected additional litigation cash. Supplier acceptances remain inside working capital.. 20x rolling quarter plus next three quarters of fully expensed operating profit, less matched end-window net financial claims, divided by end-window fully diluted shares. INR throughout; contract and legal USD amounts use explicit constant INR94/USD planning assumption.

Financial claims and diluted shares follow the company-specific schedule below. Debt, preferred and minority claims are counted once. All financial model tables use INR million unless a different unit is stated.

Thesis

As of October 11, 2026. NSE: STLTECH, ISIN INE 089 C 01029. All model amounts are INR million and all share counts are millions unless stated. Indian financial years end March; calendar Q 3 2026 is fiscal Q 2 FY 27. Coverage does not establish a holding.

Investment conclusion and the upside driver

Sterlite has moved from a cyclical fiber supplier toward a larger mix of high-density data-center cable and finished optical connectivity. Three disclosed hyperscaler agreements, actual June-quarter deliveries and a newly approved manufacturing expansion support an earnings opportunity. The investment is nevertheless sensitive to what those agreements actually ship, how much their economics overlap, and whether richer product mix overcomes raw-material and commissioning costs.

The active Q 4 2027 ceiling is INR 1,224.53 using 20 x forward-four-quarter fully expensed operating profit and matched future financial claims and diluted shares. The October 9 NSE close is INR 1,015.20, implying 1.21 x the quoted price, or about 21% modeled upside. The analytical Base is 73. This is a scenario-derived ceiling, not management guidance, a bank target or a guarantee.

The owner's sequential-percentage Upside Driver classifies the current path as 100% Growth because the first displayed Q 4 2026 ceiling, INR 839.80, is below today's price while the Q 4 2027 ceiling is above it. This does not mean earnings can never disappoint or the stock has no valuation risk. It means that, under this particular path and current price, the positive modeled upside requires subsequent operating growth. The ratio is not an additive decomposition of returns or a direct P/E-expansion measure.

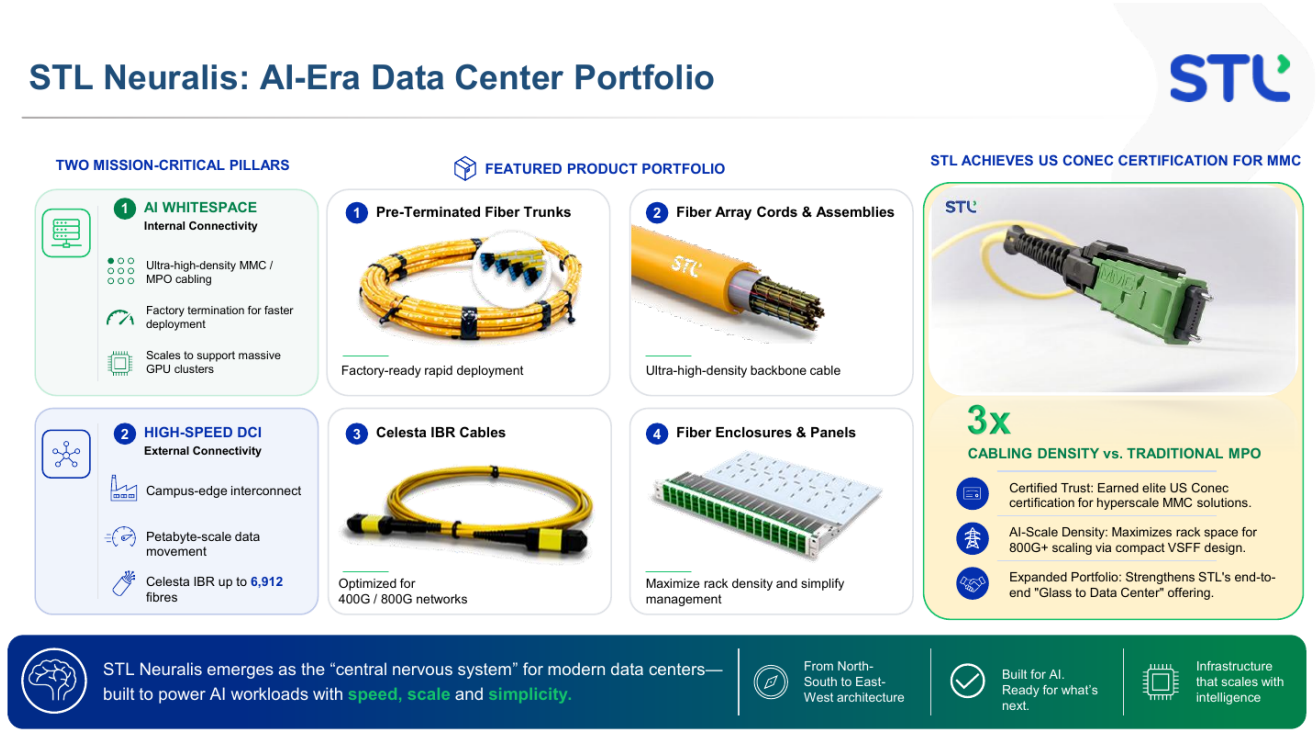
The invoice: glass, cable and finished connectivity

STL manufactures preforms and optical fiber, converts fiber into cable, and supplies more complete passive connectivity assemblies. Neuralis includes pre-terminated fiber trunks, high-density cable, array cords, enclosures and panels. Inside a data center the value can come from denser connections, factory termination and easier deployment; between facilities it comes from high-fiber-count cable and installation characteristics.

These products capture different amounts of customer spending. A kilometer of ordinary fiber is not economically interchangeable with a customer-qualified assembly, and neither is a transceiver or laser. Management said on the July call that STL was not entering transceivers. September's in-house CPO/NPO development announcement extends the technical agenda, but it does not establish a commercial photonic-chip revenue stream.

The model therefore separates telecom/enterprise fiber and cable, AI data-center fiber and cable, optical connectivity assemblies, and digital services. The product splits and gross margins are analytical assumptions because the issuer does not disclose this four-way operating bridge. Digital services is a small separate business; it is not reclassified as AI hardware because it shares a company name.

Vertical integration offers control over glass quality, manufacturing consistency, cost and product development. Qualification, connector interoperability, bend performance, insertion loss and reliable delivery matter to customers trying to avoid delayed infrastructure. US Conec certification and customer co-development help the product case. They do not establish sole sourcing, an exclusive hyperscaler relationship or permanent monopoly pricing.



Q1FY27 deck page17 | Neuralis comprises cable trunks, assemblies and enclosures. It is not a disclosed laser or transceiver manufacturing business.

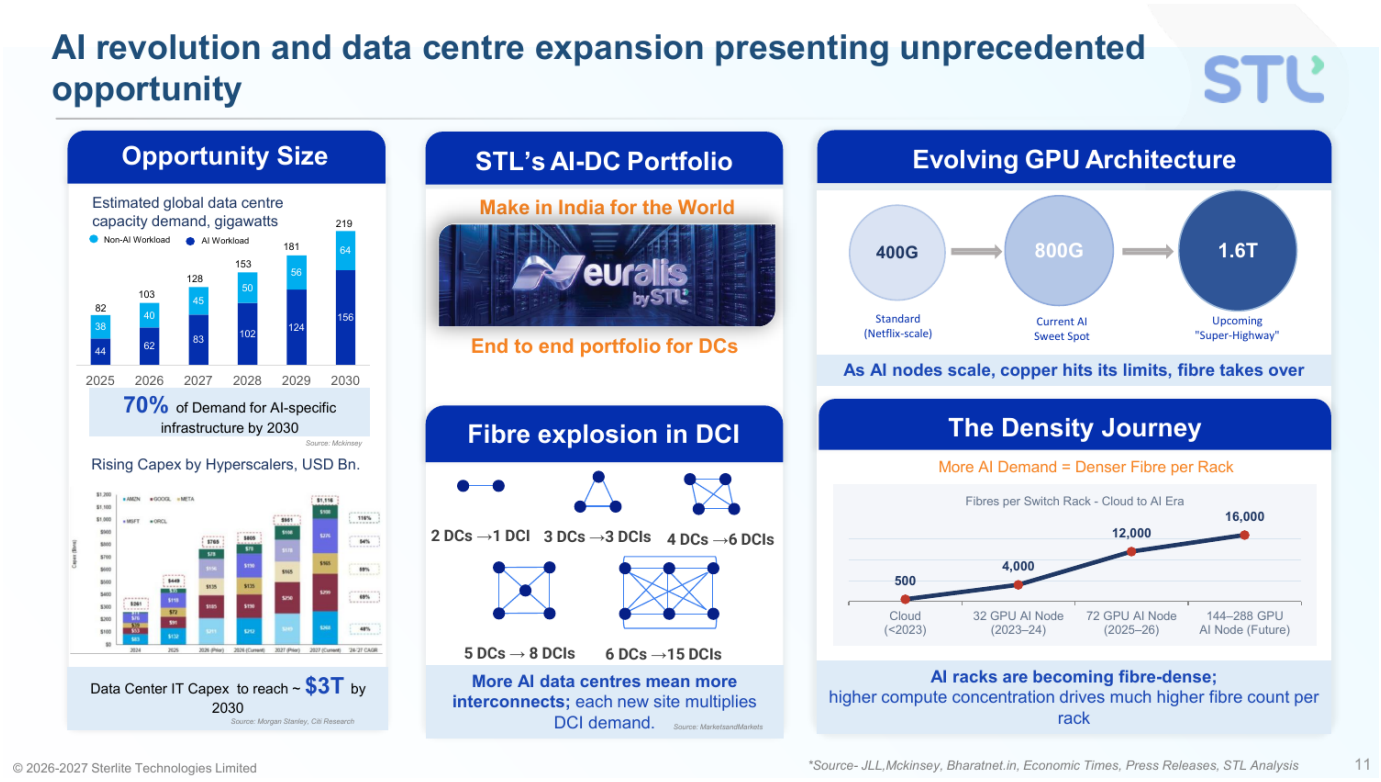
Demand and the engineering bottleneck

AI increases the need for communication between compute nodes and between buildings. More demanding layouts can increase both optical content and the value of a finished connection. STL also retains telecom and rural-network exposure, which offers more demand sources but preserves sensitivity to carrier capital spending.

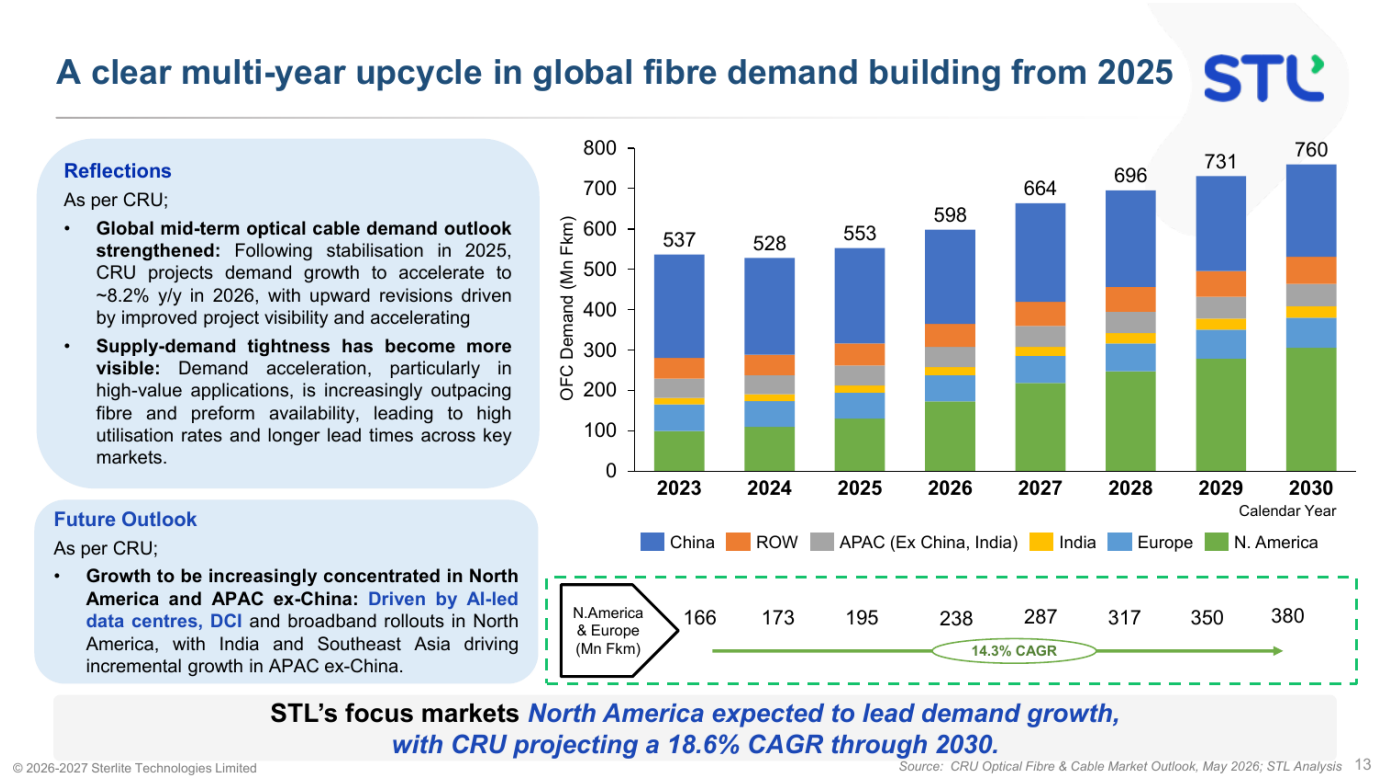
The investor diagrams are illustrations of network demand. A full-mesh graph has N(N-1)/2 connections, but not every campus is built as a full mesh. July management also clarified that its fiber-density chart describes network/switch requirements rather than the fiber count of a single sellable cable. Neither diagram is multiplied directly into company revenue.

Germanium, helium, coating materials, polymer costs and manufacturing throughput can restrict accepted output. Higher installed capacity helps only if the inputs, yields, qualification and customer delivery schedules line up. Management describes work on germanium sourcing and consumption, helium recycling and passing some polyethylene cost changes to customers. It does not disclose complete procurement coverage or a guaranteed commodity-cost hedge.

Long lead times can increase a customer's willingness to pay for early qualified delivery. That supports a small modeled premium for new or repriceable orders, not automatic repricing of all contracts. Management explicitly favors long-term customer partnerships over selling into spot-price spikes. Competitors can add capacity, customers can qualify alternatives, and competing fiber producers remain relevant even during a shortage.



Q1FY27 deck page11 | Network topology and rack-density illustration, not a company revenue multiplier. Management clarified that fiber-count labels describe network/switch requirements.



Q1FY27 deck page13 | Industry fiber-kilometer forecasts provide context only; they are not directly multiplied into STL revenue.

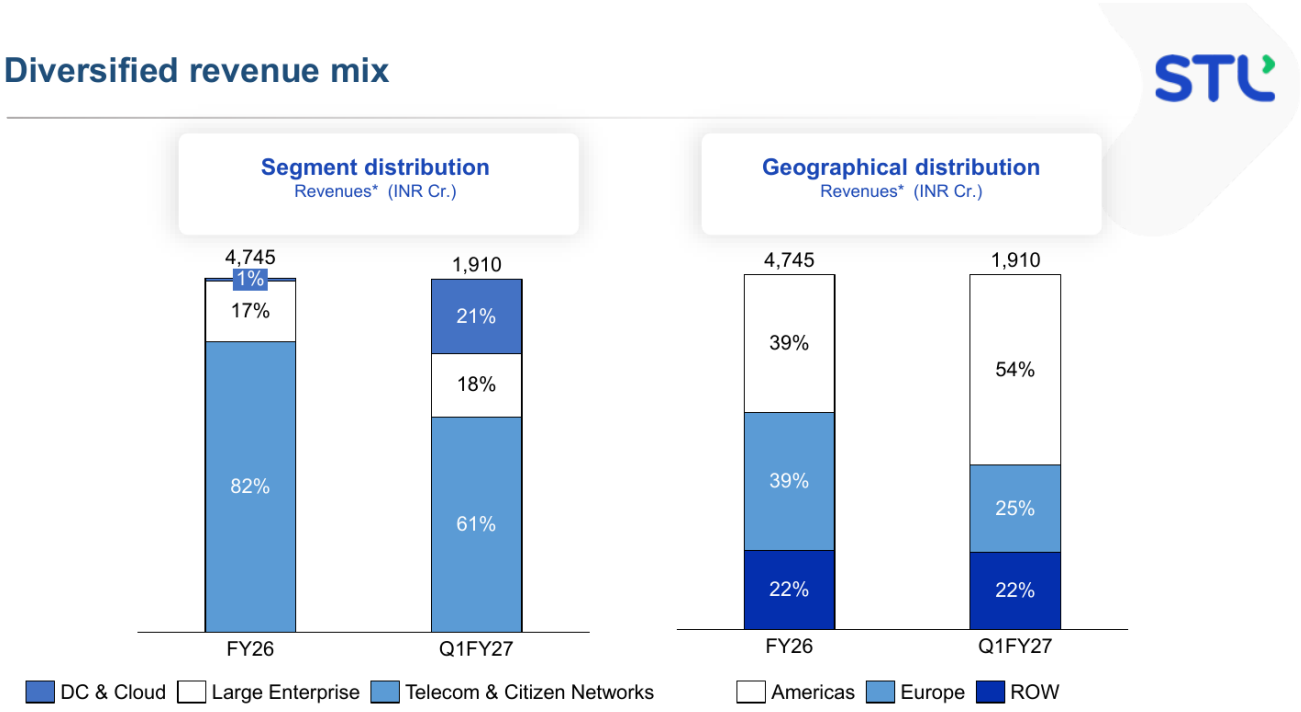
Latest actual results and the new revenue mix

The June quarter, Q 1 FY 27, reported INR 19,100 m revenue and INR 1,970 m profit after tax. The investor presentation's INR 3,970 m EBITDA includes INR 120 m non-operating other income. Removing that income gives INR 3,850 m operating EBITDA; after INR 850 m depreciation, fully operating EBIT is INR 3,000 m. The model uses the operating definition and does not capitalize deposit interest or one-off investment income at 20 x operating profit.

The reported end-market mix was 21% data-center/cloud,18% large enterprise and 61% telecom/citizen networks. The geographic chart reported 54% Americas,25% Europe and 22% rest of world, with the 101% sum reflecting issuer rounding. These are different dimensions of the same sales, not independent revenue pools.

Full-year FY 26 sales were INR 47,450 m. Headline EBITDA of INR 6,280 m included INR 590 m other income, so operating EBITDA was INR 5,690 m; after INR 3,130 m depreciation, operating EBIT was INR 2,560 m before exceptional items. The sharp June improvement is real, but using the headline EBITDA definitions without reconciliation would inflate the operating comparison.

The April and July management calls, their complete Q&A, and the September roadmap transcript were reviewed. The July exit-margin ambition rose to 23% EBITDA, with data centers plus enterprise targeted around half of revenue and the connectivity attach ratio targeted above 25% by fiscal Q 4. Those statements are management expectations, not achieved annual results. September's FY 29 ambition is INR 200,000 m revenue and 27%+ EBITDA. The active fiscal FY 29 model remains below that sales ambition; it does not simply copy it.



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* from continued operations 24

Q1FY27 deck page24 | Reported end-market and geography mix. Geographic percentages sum101% because of issuer rounding.

Consolidated financials: Abridged version

P&L (INR Cr.)	Q4 FY26	Q1 FY26	Q1 FY27
Revenue*	**1441**	**1,019**	**1,910**
EBITDA*	**218**	**140**	**397**
EBITDA %	*15.1*	*13.7*	*20.8*
Depreciation	(77)	(77)	(85)
EBIT*	**141**	**63**	**312**
Finance Costs	(63)	(50)	(55)
Exceptional Items	31	0	0
PBT* (Before share of Associates and JV)	**109**	**13**	**257**
Tax	(50)	(3)	(60)
Net Profit* (After minority Interest & share of JV)	**59**	**10**	**197**

Key Updates#

- **Net Debt-Free** balance sheet
- Net cash balance stands at **483 Cr**

Credit Profile Strengthened:
CRISIL revised outlook to **'Stable'**, reaffirming AA- (Long-Term) and A1+ (Short-Term) ratings.

ICRA upgraded long-term credit rating to [ICRA] **AA (Stable)** and reaffirmed its short-term rating at [ICRA]A1+

*From Continued operations
#Includes restricted cash items: a) ~391 Crs for a legal matter related to the US entity b) ~1500 Crs of QIP amount pending allocation as on 30th Jun

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Q1FY27 deck page26 | Issuer headline EBITDA includes INR12cr other income. Our operating EBITDA is INR385cr and operating EBIT INR300cr. Restricted cash footnote is material.

The three contracts and what remains uncertain

The May 22 Product Award Letter has a potential value of USD 1.11 bn through March 2029. It is already reflected in the June backlog and the initial customer ramp. The model treats the May award as reference evidence, assigning an 85% realization proxy with 70-100% bounds, and adds no separate second award benefit. Periodic purchase orders and reciprocal capped shortfall obligations remain relevant.

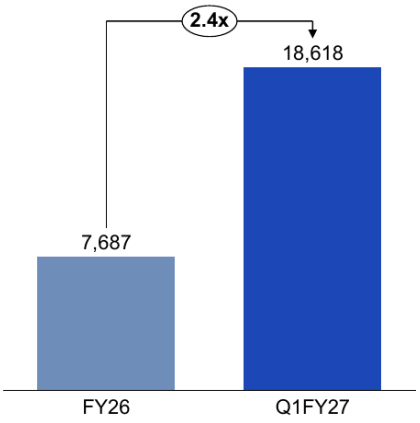
The August 29 agreement covers approximately USD 288 m of high-density optical fiber cable over calendar 2027-2029, with a mutually agreed extension option. An August 31 correction clarifies that the contracting supplier is a subsidiary. The model assumes 90% realization,40% overlap with existing reference growth and 80% probability on the remaining distinct sales. At a constant planning exchange rate of INR 94/USD, the conditional incremental pool is INR 14,618.88 m and its expected contribution is INR 11,695.104 m over three years. This is an explicit bounded interpretation, not a disclosed order schedule.

The October 1 agreement has a potential USD 1.2 bn value across calendar 2026-2030. The model assumes 85% realization,50% overlap with the reference and 75% probability on the distinct residual. That leaves INR 47,940 m conditional incremental sales and INR 35,955 m expected sales spread over the term. The annual allocation is 2%,20%,28%,27% and 23%; within later years, acceptance is weighted toward the second half.

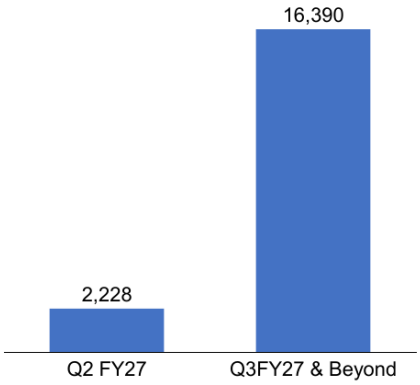
Customer identities, annual purchase orders, pricing formulas and the precise relationship among these awards are undisclosed. The model does not claim three unique named customers or unconditional take-or-pay revenue. The two new branches have separate product pools, but potential overlap remains a sensitivity, with a no-favorable-award case included. The June INR 186,180 m backlog is evidence of visibility, not cash in the bank. Its INR 22,280 m fiscal Q 2 executable component was explicitly not presented as revenue guidance on the July call.

Open order book / Backlog highlights

Open order book / Backlog (INR Cr.)



Order book spread / Backlog Schedule (INR Cr.)



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Q1FY27 deck page25 | June backlog already includes the May award. The INR2,228cr Q2 executable backlog is not revenue guidance.

Annexure A

Sr. No.	Particulars	Description
1.	name of the entity awarding the order(s)/contract(s)	A hyperscale partner
2.	significant terms and conditions of order(s)/contract(s) awarded in brief	i) Allocation of optical connectivity products to be supplied in each Calendar Year (CY) starting from CY26 to CY30 ii) Purchase orders will be released periodically during the contract period iii) The agreement establishes a reciprocal risk-sharing framework by defining mutual, capped financial liabilities for both parties in the event of demand or supply capacity shortfalls / failures
3.	whether order(s) / contract(s) have been awarded by domestic/ international entity	International
4.	nature of order(s) / contract(s)	Supply of optical connectivity products as per customer specifications
5.	whether domestic or international	International
6.	time period by which the order(s)/contract(s) is to be executed	Upto December 2030
7.	broad consideration or size of the order(s)/contract(s)	~USD 1.2 billion
8.	whether the promoter/ promoter group / group companies have any interest in the entity that awarded the order(s)/contract(s)? If yes, nature of interest and details thereof	No
9.	whether the order(s)/contract(s) would fall within related party transactions? If yes, whether the same is done at "arm's length"	No

Sterlite Technologies Limited
Registered office: 4th Floor, Godrej Millennium, Koregaon Road 9, STS 12/1, Pune, Maharashtra- 411 001, India.
CIN - L31300PN2000PLC202408

October1 exchange filing page2 | October award terms require periodic POs and mutual capped liabilities. Potential face value is not unconditional revenue.

Capacity and the operating model

The September board approved roughly 50% additional installed manufacturing capacity by the end of FY 29 and an INR 30,000 m investment, with approximately 70% existing utilization. At 85% utilization of a 1.5 x installed base, output could mathematically be about 1.82 x the prior 70%-utilized base before any yield or product-mix adjustment. That is not enough, on its own, to prove fourfold revenue growth. More finished connectivity content and higher realization per useful unit must do part of the work.

Reference calendar 2027 revenue is INR 131,300 m: INR 70,000 m traditional fiber/cable, INR 40,000 m AI cable, INR 18,000 m assemblies and INR 3,300 m digital. Reference gross margins are 25%,35%,40% and 28%. Product operating costs include R&D, selling, administration and SBC; a separate corporate and qualification burden remains. Manufacturing depreciation is inside gross margins and is added back only when estimating cash flow.

The October award branch uses 42% gross margin and 12% incremental operating costs. The August cable branch uses 36% and 10%. An additional 15% unavailable-volume reserve excludes potentially delayed units from the premium cohort in every year, even when later delays disappear. The small new-order premium uses 45%

probability, a 2% price increase on 20% of reference AI cable/assembly sales,85% gross retention and 15% extra operating support. No premium is layered onto the new award volume or the entire fixed-price backlog.

A separate 25% downside branch removes 15%,10%,5% and 0% of reference AI cable/assembly sales in 2027-2030. Lost gross contribution is 38% of lost sales, partly offset by 6% variable-cost savings. Fixed engineering remains. The full 2027 expected effect of the positive branches is partially offset by INR 696 m lost operating profit in this delay case. Recovery by 2030 is an assumption.

The resulting calendar 2027/2028 revenue is INR 139,328.52 m/169,000.44 m, with operating profit INR 27,681.60 m/37,781.80 m. Calendar 2029/2030 revenue is INR 189,276.65 m/203,636.42 m and operating profit INR 45,001.18 m/49,403.63 m. These are model outputs. No revenue is added simply because an industry fiber chart rises or because the share price has performed well.

STL

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Annexure I

Details with respect to Capacity Addition in existing manufacturing of the Company as per Regulation 30 of the SEBI Listing Regulations read with SEBI Master Circular SEBI/HO/49/14/14(7)2025-CFD-POD2/I/3762/2026 dated January 30, 2026.

Sr. No.	Particulars	Description
1.	Existing capacity	Not disclosed considering the commercially sensitive and competitive nature of the information
2.	Existing capacity utilization	~ 70%
3.	Proposed capacity addition	Approximately 50% increase over the existing installed manufacturing capacity.
4.	Period within which the proposed capacity is to be added	By end of FY29
5.	Investment required	~ ₹3,000 crores
6.	Mode of financing	Internal accruals and/or debt
7.	Rationale	To cater to anticipated growth in demand and strengthen the Company's manufacturing capabilities

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September3 board filing page2 | 50% installed capacity addition and70% starting utilization are issuer figures. Good-unit yield, mix and acceptance remain modeled.

Dilution and the funding bridge

The latest verified September 10 share allotment gives 514.057433 m common shares. The July QIP issued 25.7285 m shares at INR 583.01; subsequent employee allotments are reconciled separately. October 9 market capitalization uses only the issued common count, about INR 521,870 m, rather than unconverted warrants.

The 45.3 m promoter warrants were issued at INR 110 each. The first 25% was paid in March and is already inside historical cash. Remaining proceeds of INR 3,737.25 m enter only at the modeled Q 3 2027 conversion, before the 18-month deadline. Forecast shares include the full warrant count from the start as shadow dilution plus 0.2 m annual employee issuance. A no-conversion sensitivity removes both the shares and unpaid proceeds, rather than keeping the cash without dilution.

June's headline net cash of INR 4,830 m includes INR 3,910 m tied to US litigation and INR 15,000 m QIP proceeds that awaited allocation at June 30. July allotment does not create a second cash inflow. The credit rationale gives approximate gross cash of INR 24,000 m; pairing it with reported net cash implies roughly INR 19,170 m headline financial debt. The bridge starts with INR 20,090 m usable cash and that approximate debt, then separately carries March's verified INR 1,150 m lease and INR 1,670 m interest-bearing APSA balances. It is a transparent June proxy, not a claim that every June balance-sheet component has been audited.

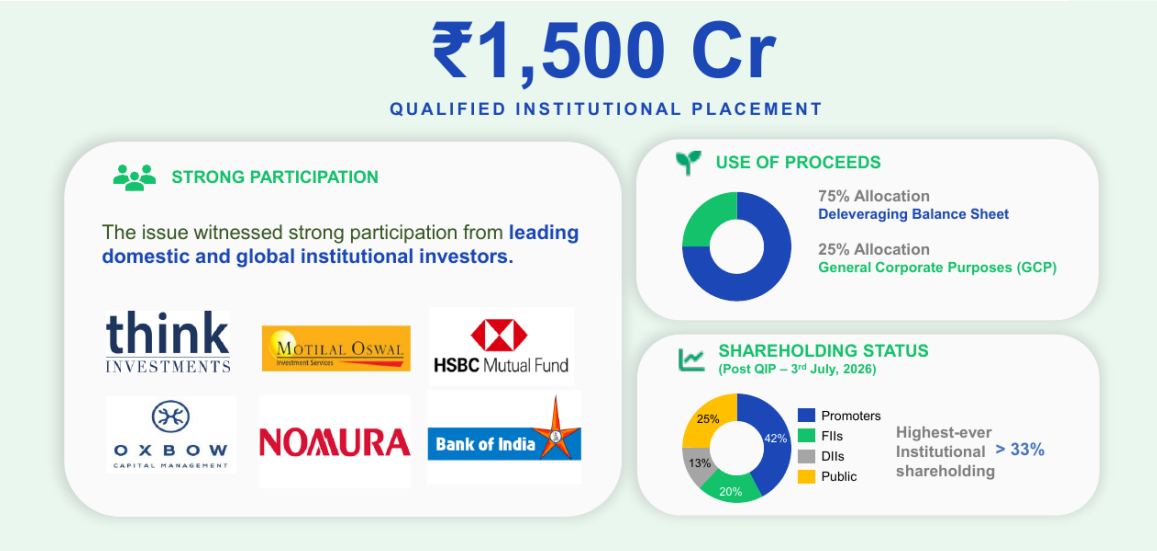
The model pays down bank debt with available cash, respects scheduled bond principal rather than treating fixed bonds as freely redeemable, and retains an INR 3,000 m operating cash floor, which is also excluded from distributable cash in the valuation. The first payment is capped at the QIP's INR 11,250 m deleveraging allocation. Bank interest is 8%, bond interest 8.5%, lease interest 7% and APSA interest 6.6%. Supplier acceptances remain in working capital with a separate interest-cost allowance; their INR 2,710 m balance is not deducted again as both working capital and enterprise debt.

APSA fulfillment reduces cash collections and the liability by INR 80 m per quarter until used. Lease cash principal and new leases are each INR 52.5 m per quarter, keeping liabilities stable while respecting cash payments. The model does not treat a principal payment as only a cash outflow without reducing the liability.

Incremental working capital consumes 30% of incremental annualized sales. Cash tax is 25% of positive modeled pretax earnings. The approved expansion budget is allocated as INR 6,000 m in the remaining 2026 quarters, INR 11,000 m in each of 2027 and 2028, and INR 2,000 m in Q 1 2029. A further INR 1,880 m annual US investment allowance is included because overlap with the separate USD 100 m US plan is not fully clear. Treating the US investment as already included is a documented alternative. No buyback is assumed;20% of the prior calendar year's profit is paid from 2028 as a modeled dividend policy, not current guidance.

The annual filing discloses INR 9,510 m undrawn fund-based facilities at March. The September rating lists INR 14,730 m cash-credit facilities separately from letters of credit/guarantees; ratings and facility limits are not the same as unconditional available cash. Covenants, expiry, security and utilization still matter. The model reports peak debt and draws so funding stress can be compared with those dated facilities, and does not add the entire guarantee line to borrowing capacity.

Successful QIP Secures Next Phase of Growth



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Q1FY27 deck page27 | QIP cash was received June30 and shares allotted July1. The model counts cash once and uses the later issued share count.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

For the year ended March 31, 2026
(All amounts are in ₹ crores, unless otherwise stated)

xii) Utilisation of borrowed funds :
The Group has not received any fund from any person(s) or entity(ies), including foreign entities (Funding Party) with the understanding (whether recorded in writing or otherwise) that the company shall:

a. directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party (Ultimate Beneficiaries) or ;

b. provide any guarantee, security or the like on behalf of the ultimate beneficiaries.

xiii) The borrowings obtained by the Group during the year from banks and financial institutions have been applied for the purposes for which such loans were taken.

xiv) The Group has not been declared wilful defaulter by any bank or financial institution or government or any government authority.

xv) Net debt reconciliation
This section sets out an analysis of net debt and the movements in net debt for each of the periods presented.

Particulars	31 March 2026 (₹ in crores)	31 March 2025 (₹ in crores)
Cash and cash equivalents	298	396
Current investments*	6	56
Current borrowings (including interest accrued but not due)	(684)	(996)
Non-current borrowings	(1155)	(837)
Net Debt	**(1535)**	**(1,381)**

Net Debt
The amount of net debt considering the amount of lease liability of ₹ 115 crores (31 March 2025 : ₹ 108 crores) and Advances under advance payment and sales agreement (APSA) of ₹ 167 crores (31 March 2025 : 181 crores) is ₹ (1,817) crores (31 March 2025 : ₹ (1,670) crores). For movement of lease liability refer note 4.

*Includes other bank balance of ₹ 2 crores (31 March 2025 : ₹ 56 crores) with respect to fixed deposit excluding deposits held as lien by banks against bank guarantees. These fixed deposits can be encashed by the Group at any time without any major penalties.

Movement of Borrowings (current and non current)

Particulars	31 March 2026 (₹ in crores)	31 March 2025 (₹ in crores)
Opening balance	**1833**	**3,230**
Cashflows (net)	(16)	(617)
Interest expense	207	247
Interest paid	(204)	(224)
Forex adjustment	19	13
Transfer pursuant to scheme of arrangement for demerger (refer note 16)	-	(816)
Closing balance	**1839**	**1,833**

Movement of Advances under advance payment and sales agreement (APSA)

Particulars	31 March 2026 (₹ in crores)	31 March 2025 (₹ in crores)
Opening balance	**181**	**207**
Cashflows (net)	-	-
Interest expense	11	13
Interest paid	(11)	(13)
Adjusted against sale of goods	(32)	(26)
Forex adjustment	18	0
Closing balance	**167**	**181**

FY26 annual report PDF page289 | Annual financial debt reconciliation separately identifies lease liabilities and interest-bearing APSA customer advances.

Litigation and financial risk

The US subsidiary faces an affirmed USD 101.25 m award including fees, with an appeal ongoing and USD 41.53 m deposited as collateral. STL says the Indian parent is not a defendant, but that does not remove consolidated cash exposure at its subsidiary. The active case assigns 60% probability to the remaining USD 59.72 m cash exposure, producing INR 3,368.208 m additional claims at the INR 94 planning rate.

Restricted collateral is already excluded from usable cash, so only the additional exposure is reserved. The reserve is paid in modeled Q 2 2028 and removed from claims at payment. No favorable collateral refund is credited. A 100% additional-loss case is calculated. The probability and payment date are analytical assumptions; the source does not predict the court's outcome or timetable.

The gross-debt reconciliation is another important limitation. An additional INR 5,000 m opening-claims stress lowers the Q 4 2027 ceiling to INR 1,214.43. That is a bound for uncertain balances, not a newly discovered liability. A 40% working-capital requirement with 25% higher capex gives INR 1,191.47. These sensitivities rebuild financing and interest; they do not merely change one valuation cell.

What would change the conclusion

With no favorable award/pricing branches and the full modeled materials/acceptance downside, the ceiling becomes INR 1,023.59. Combining that case with 40% working capital,25% higher capex, INR 5,000 m additional opening claims, full litigation exposure and 2 percentage points lower product gross margins gives INR 866.19. The stock therefore does not have a large cushion against simultaneous operating and funding disappointments at the current quote.

The active bridge's peak modeled bank debt is INR10,993.51m. The joint adverse scenario reaches INR37,823.64m, well above the dated cash-credit limit. That stress is not established as funded: additional equity, bank commitments, spending cuts or a slower expansion would be necessary. The stress target illustrates adverse economics before that financing response, not an executable funded plan. Separate early Q4 2026 and late Q4 2030 expected legal-payment cases rebuild the cash and interest path.

Useful next evidence is accepted shipment conversion, the actual connectivity attach ratio, gross margin after raw-material costs, the quarter-end usable cash/debt reconciliation, and the capacity commissioning schedule. Updated purchase-order timing could reduce the contract overlap assumption; a customer qualification loss or a delivery penalty could increase it. A litigation ruling, promoter conversion or capex-scope clarification changes financial claims directly.

Hollow-core fiber, multicore fiber and CPO/NPO development remain meaningful watch items. A 30% bounded INR 1-3 bn later annual opportunity is assessed, but it fits inside the existing connectivity-growth path and R&D budget, so its separate increment is zero for explicit overlap reasons. Revisit when distinct qualified invoices support an independent pool.

This is a potentially stronger business than the old commodity-fiber description suggests, but the current share price already requires substantial execution. The model's attraction rests on operating growth, product mix and cash conversion, with every award converted through probability, overlap, costs and dilution rather than through headline contract value alone.

Auditable cash and financing path

Amounts below are INR million. Cash shown excludes litigation collateral. The INR3,000m operating reserve is retained and is not added to equity value. Warrant proceeds are financing, never operating cash.

Quarter	Operating cash	Capex	Warrant cash	New bank draws	Debt repaid	End usable cash
Q3 2026	-1,191.7	3,470.0	0.0	0.0	11,250.0	4,178.3
Q4 2026	-57.0	3,470.0	0.0	2,348.7	0.0	3,000.0
Q1 2027	798.7	3,220.0	0.0	2,421.3	0.0	3,000.0
Q2 2027	2,016.5	3,220.0	0.0	1,203.5	0.0	3,000.0
Q3 2027	2,310.2	3,220.0	3,737.2	0.0	2,827.5	3,000.0
Q4 2027	3,123.7	3,220.0	0.0	96.3	0.0	3,000.0
Q1 2028	10,929.7	3,220.0	0.0	0.0	7,709.7	3,000.0
Q2 2028	3,359.6	3,220.0	0.0	3,228.6	0.0	3,000.0
Q3 2028	3,722.4	3,220.0	0.0	3,463.1	0.0	3,000.0

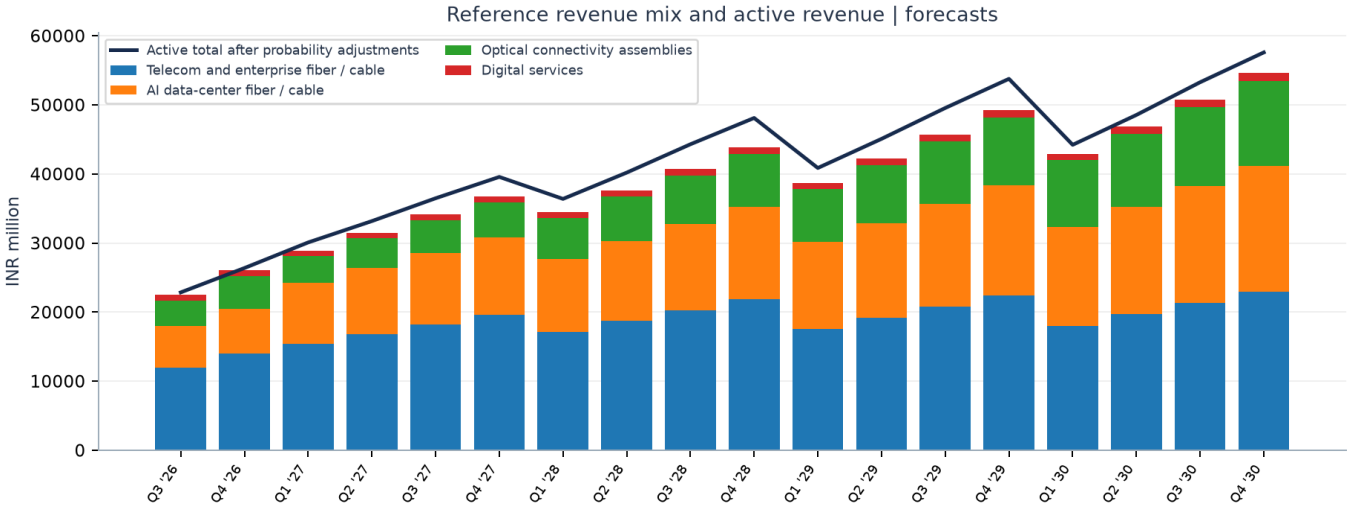
Quarter	Operating cash	Capex	Warrant cash	New bank draws	Debt repaid	End usable cash
Q4 2028	4,724.6	3,220.0	0.0	0.0	1,504.6	3,000.0
Q1 2029	17,293.8	2,470.0	0.0	0.0	7,189.7	10,634.1
Q2 2029	4,505.4	2,048.0	0.0	0.0	0.0	13,091.5
Q3 2029	5,088.8	2,204.4	0.0	0.0	0.0	10,442.5
Q4 2029	6,183.1	2,352.0	0.0	0.0	0.0	14,273.6
Q1 2030	21,139.1	2,017.7	0.0	0.0	725.0	32,669.9
Q2 2030	5,447.8	2,169.0	0.0	0.0	0.0	35,948.7
Q3 2030	5,901.9	2,334.7	0.0	0.0	0.0	32,812.2
Q4 2030	7,218.5	2,485.9	0.0	0.0	0.0	37,544.8

Litigation cash, dividends and lease/APSA settlements are separately reconciled in the saved funding schedule. Probability controls show operating sensitivity with adopted financial claims held fixed; a full scenario requires rebuilding cash, interest, debt and claims together.

Score arithmetic

Category	Points	Evidence / treatment
Core thesis	17	Vertical integration and co-developed high-density connectivity, offset by competitive fiber pricing and customer concentration.
Cycle	8	Actual data-center deliveries and three awards support the ramp; rapid appreciation and capex timing limit score.
TAM	8	More optical content and finished assemblies expand addressable value beyond commodity fiber.
Catalysts	4	September-quarter report, PO conversion, capacity progress and QIP debt deployment.
Macro	8	AI and rural networks support demand, while tariffs, raw materials and telecom cycles constrain confidence.
Alpha	4	Separate contract face values, overlap, accepted shipments and cash restrictions rather than multiplying optical TAM.
Risk classes	-5	Litigation, promoter warrant dilution, capacity execution, unknown customer overlap and funding reconciliation.
Total	44/60	Rounded Base 73. Both artifact and new workbook row use this score; this is not a manual override.

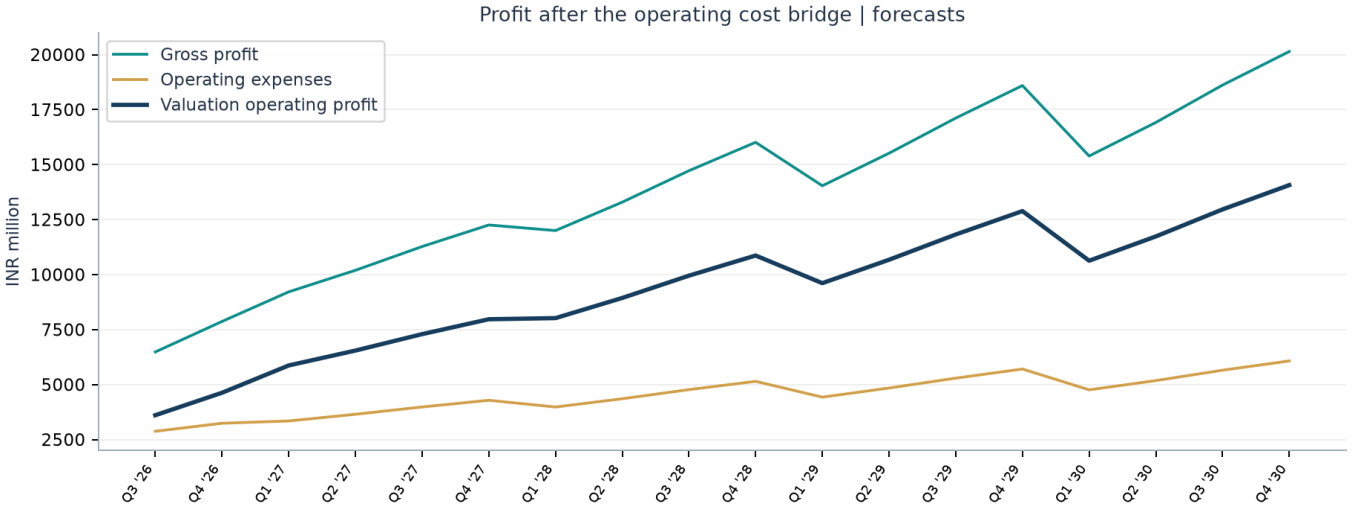
Revenue and business mix



Reference business vectors sum to the reference; the active total adds only probability-weighted net changes. Product allocations may be analytical proxies where issuers do not report product margins.

Quarter	Reference revenue	Weighted net change	Active revenue
Q3 2026	22,500.0	359.5	22,859.5
Q4 2026	26,025.0	359.5	26,384.5
Q1 2027	28,886.0	1,204.4	30,090.4
Q2 2027	31,512.0	1,668.4	33,180.4
Q3 2027	34,138.0	2,345.8	36,483.8
Q4 2027	36,764.0	2,809.8	39,573.8
Q1 2028	34,452.0	1,941.5	36,393.5
Q2 2028	37,584.0	2,614.3	40,198.3
Q3 2028	40,716.0	3,585.9	44,301.9
Q4 2028	43,848.0	4,258.7	48,106.7
Q1 2029	38,698.0	2,169.8	40,867.8
Q2 2029	42,216.0	2,868.9	45,084.9
Q3 2029	45,734.0	3,819.5	49,553.5
Q4 2029	49,252.0	4,518.6	53,770.6
Q1 2030	42,944.0	1,277.1	44,221.1
Q2 2030	46,848.0	1,694.0	48,542.0
Q3 2030	50,752.0	2,524.3	53,276.3
Q4 2030	54,656.0	2,941.1	57,597.1

Gross profit, operating expenses and earnings

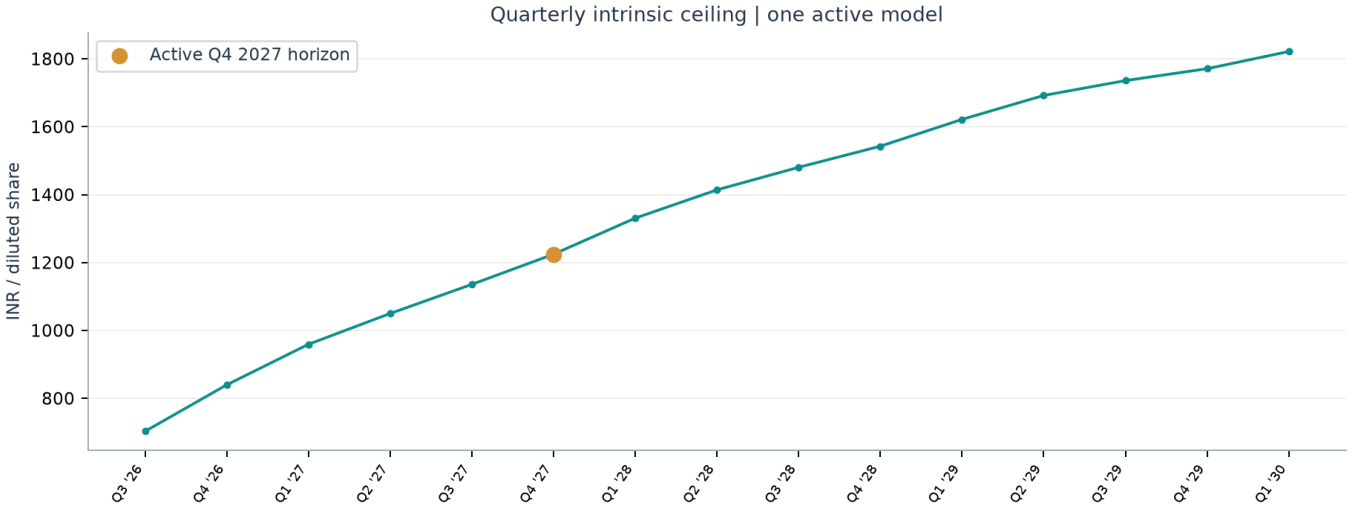


Operating profit equals gross profit less operating expenses and any separately identified attribution reserve. Figures are forecasts, not reported historical quarterly outcomes.

Quarter / status	Revenue	GP	Opex	Valuation OP	OP margin
Q3 2026 / Model assumption; Indian fiscal year ends March	22,859.5	6,483.0	2,876.1	3,606.9	15.8%
Q4 2026 / Model assumption; Indian fiscal year ends March	26,384.5	7,869.8	3,241.6	4,628.1	17.5%
Q1 2027 / Model assumption; Indian fiscal year ends March	30,090.4	9,215.6	3,345.9	5,869.7	19.5%
Q2 2027 / Model assumption; Indian fiscal year ends March	33,180.4	10,196.7	3,649.8	6,546.9	19.7%
Q3 2027 / Model assumption; Indian fiscal year ends March	36,483.8	11,276.2	3,982.3	7,293.9	20.0%
Q4 2027 / Model assumption; Indian fiscal year ends March	39,573.8	12,257.3	4,286.2	7,971.1	20.1%
Q1 2028 / Model assumption; Indian fiscal year ends March	36,393.5	12,002.5	3,980.2	8,022.3	22.0%
Q2 2028 / Model assumption; Indian fiscal year ends March	40,198.3	13,294.2	4,355.8	8,938.5	22.2%
Q3 2028 / Model assumption; Indian fiscal year ends March	44,301.9	14,723.7	4,771.3	9,952.4	22.5%

Quarter / status	Revenue	GP	Opex	Valuation OP	OP margin
Q4 2028 / Model assumption; Indian fiscal year ends March	48,106.7	16,015.5	5,146.9	10,868.6	22.6%
Q1 2029 / Model assumption; Indian fiscal year ends March	40,867.8	14,041.2	4,429.1	9,612.1	23.5%
Q2 2029 / Model assumption; Indian fiscal year ends March	45,084.9	15,519.5	4,843.6	10,676.0	23.7%
Q3 2029 / Model assumption; Indian fiscal year ends March	49,553.5	17,117.5	5,292.9	11,824.6	23.9%
Q4 2029 / Model assumption; Indian fiscal year ends March	53,770.6	18,595.8	5,707.3	12,888.5	24.0%
Q1 2030 / Model assumption; Indian fiscal year ends March	44,221.1	15,393.4	4,761.2	10,632.1	24.0%
Q2 2030 / Model assumption; Indian fiscal year ends March	48,542.0	16,919.1	5,182.4	11,736.6	24.2%
Q3 2030 / Model assumption; Indian fiscal year ends March	53,276.3	18,618.4	5,653.3	12,965.2	24.3%
Q4 2030 / Model assumption; Indian fiscal year ends March	57,597.1	20,144.1	6,074.4	14,069.7	24.4%

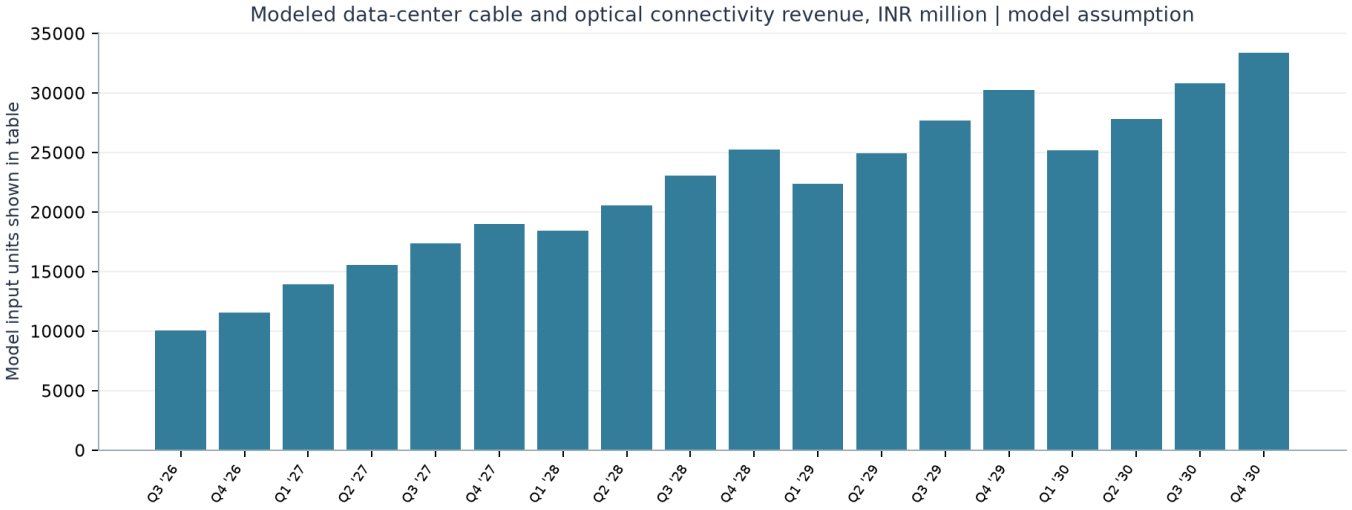
The complete ceiling path



Quarter Q prices Q plus the next three calendar quarters. All fifteen ceilings link to the same operating rows used in the workbook. Outer quarters have lower evidence visibility.

Quarter	Four-quarter earnings window	F4Q OP	Multiple	Shares	Ceiling
Q3 2026	Q3 2026 to Q2 2027	20,651.6	20x	559.507	702.89
Q4 2026	Q4 2026 to Q3 2027	24,338.7	20x	559.557	839.80
Q1 2027	Q1 2027 to Q4 2027	27,681.6	20x	559.607	959.18
Q2 2027	Q2 2027 to Q1 2028	29,834.2	20x	559.657	1,049.93
Q3 2027	Q3 2027 to Q2 2028	32,225.7	20x	559.707	1,135.69
Q4 2027	Q4 2027 to Q3 2028	34,884.3	20x	559.757	1,224.53
Q1 2028	Q1 2028 to Q4 2028	37,781.8	20x	559.807	1,330.77
Q2 2028	Q2 2028 to Q1 2029	39,371.6	20x	559.857	1,414.07
Q3 2028	Q3 2028 to Q2 2029	41,109.1	20x	559.907	1,480.54
Q4 2028	Q4 2028 to Q3 2029	42,981.3	20x	559.957	1,542.68
Q1 2029	Q1 2029 to Q4 2029	45,001.2	20x	560.007	1,621.67
Q2 2029	Q2 2029 to Q1 2030	46,021.2	20x	560.057	1,692.24
Q3 2029	Q3 2029 to Q2 2030	47,081.9	20x	560.107	1,735.96
Q4 2029	Q4 2029 to Q3 2030	48,222.5	20x	560.157	1,771.07
Q1 2030	Q1 2030 to Q4 2030	49,403.6	20x	560.207	1,821.67

The operating constraint behind the forecast



The driver series is a stated model assumption, not a disclosed commitment. It must be evaluated with the qualification, customer capture, cost and overlap discussion.

Quarter	Modeled data-center cable and optical connectivity revenue, INR million	Status
Q3 2026	10,059.550	Model assumption; Indian fiscal year ends March
Q4 2026	11,559.550	Model assumption; Indian fiscal year ends March
Q1 2027	13,944.905	Model assumption; Indian fiscal year ends March
Q2 2027	15,567.144	Model assumption; Indian fiscal year ends March
Q3 2027	17,402.744	Model assumption; Indian fiscal year ends March
Q4 2027	19,024.983	Model assumption; Indian fiscal year ends March
Q1 2028	18,416.267	Model assumption; Indian fiscal year ends March
Q2 2028	20,586.802	Model assumption; Indian fiscal year ends March
Q3 2028	23,056.042	Model assumption; Indian fiscal year ends March
Q4 2028	25,226.576	Model assumption; Indian fiscal year ends March
Q1 2029	22,378.786	Model assumption; Indian fiscal year ends March
Q2 2029	24,915.080	Model assumption; Indian fiscal year ends March
Q3 2029	27,702.865	Model assumption; Indian fiscal year ends March
Q4 2029	30,239.160	Model assumption; Indian fiscal year ends March
Q1 2030	25,220.447	Model assumption; Indian fiscal year ends March
Q2 2030	27,813.930	Model assumption; Indian fiscal year ends March
Q3 2030	30,820.895	Model assumption; Indian fiscal year ends March
Q4 2030	33,414.378	Model assumption; Indian fiscal year ends March

Quarterly revenue-vector derivation

All rows below are reference inputs. Gross profit = vector revenue x the stated gross margin, except explicitly labeled zero-sales cost credits. The next table applies the separately weighted evidence deltas. A product-level proxy is a model assumption even when the group total is calibrated to guidance.

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q3 2026	Telecom and enterprise fiber / cable	12,000.0	24.0%	2,880.0
Q3 2026	AI data-center fiber / cable	6,000.0	32.0%	1,920.0
Q3 2026	Optical connectivity assemblies	3,700.0	36.0%	1,332.0
Q3 2026	Digital services	800.0	25.0%	200.0
Q4 2026	Telecom and enterprise fiber / cable	14,000.0	25.0%	3,500.0
Q4 2026	AI data-center fiber / cable	6,500.0	34.0%	2,210.0
Q4 2026	Optical connectivity assemblies	4,700.0	38.0%	1,786.0
Q4 2026	Digital services	825.0	27.0%	222.8
Q1 2027	Telecom and enterprise fiber / cable	15,400.0	25.0%	3,850.0
Q1 2027	AI data-center fiber / cable	8,800.0	35.0%	3,080.0
Q1 2027	Optical connectivity assemblies	3,960.0	40.0%	1,584.0
Q1 2027	Digital services	726.0	28.0%	203.3
Q2 2027	Telecom and enterprise fiber / cable	16,800.0	25.0%	4,200.0
Q2 2027	AI data-center fiber / cable	9,600.0	35.0%	3,360.0
Q2 2027	Optical connectivity assemblies	4,320.0	40.0%	1,728.0
Q2 2027	Digital services	792.0	28.0%	221.8
Q3 2027	Telecom and enterprise fiber / cable	18,200.0	25.0%	4,550.0
Q3 2027	AI data-center fiber / cable	10,400.0	35.0%	3,640.0
Q3 2027	Optical connectivity assemblies	4,680.0	40.0%	1,872.0
Q3 2027	Digital services	858.0	28.0%	240.2
Q4 2027	Telecom and enterprise fiber / cable	19,600.0	25.0%	4,900.0
Q4 2027	AI data-center fiber / cable	11,200.0	35.0%	3,920.0
Q4 2027	Optical connectivity assemblies	5,040.0	40.0%	2,016.0
Q4 2027	Digital services	924.0	28.0%	258.7
Q1 2028	Telecom and enterprise fiber / cable	17,160.0	26.5%	4,547.4
Q1 2028	AI data-center fiber / cable	10,560.0	37.0%	3,907.2
Q1 2028	Optical connectivity assemblies	5,940.0	42.5%	2,524.5
Q1 2028	Digital services	792.0	29.0%	229.7

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q2 2028	Telecom and enterprise fiber / cable	18,720.0	26.5%	4,960.8
Q2 2028	AI data-center fiber / cable	11,520.0	37.0%	4,262.4
Q2 2028	Optical connectivity assemblies	6,480.0	42.5%	2,754.0
Q2 2028	Digital services	864.0	29.0%	250.6
Q3 2028	Telecom and enterprise fiber / cable	20,280.0	26.5%	5,374.2
Q3 2028	AI data-center fiber / cable	12,480.0	37.0%	4,617.6
Q3 2028	Optical connectivity assemblies	7,020.0	42.5%	2,983.5
Q3 2028	Digital services	936.0	29.0%	271.4
Q4 2028	Telecom and enterprise fiber / cable	21,840.0	26.5%	5,787.6
Q4 2028	AI data-center fiber / cable	13,440.0	37.0%	4,972.8
Q4 2028	Optical connectivity assemblies	7,560.0	42.5%	3,213.0
Q4 2028	Digital services	1,008.0	29.0%	292.3
Q1 2029	Telecom and enterprise fiber / cable	17,600.0	27.0%	4,752.0
Q1 2029	AI data-center fiber / cable	12,540.0	38.0%	4,765.2
Q1 2029	Optical connectivity assemblies	7,700.0	44.0%	3,388.0
Q1 2029	Digital services	858.0	30.0%	257.4
Q2 2029	Telecom and enterprise fiber / cable	19,200.0	27.0%	5,184.0
Q2 2029	AI data-center fiber / cable	13,680.0	38.0%	5,198.4
Q2 2029	Optical connectivity assemblies	8,400.0	44.0%	3,696.0
Q2 2029	Digital services	936.0	30.0%	280.8
Q3 2029	Telecom and enterprise fiber / cable	20,800.0	27.0%	5,616.0
Q3 2029	AI data-center fiber / cable	14,820.0	38.0%	5,631.6
Q3 2029	Optical connectivity assemblies	9,100.0	44.0%	4,004.0
Q3 2029	Digital services	1,014.0	30.0%	304.2
Q4 2029	Telecom and enterprise fiber / cable	22,400.0	27.0%	6,048.0
Q4 2029	AI data-center fiber / cable	15,960.0	38.0%	6,064.8
Q4 2029	Optical connectivity assemblies	9,800.0	44.0%	4,312.0
Q4 2029	Digital services	1,092.0	30.0%	327.6
Q1 2030	Telecom and enterprise fiber / cable	18,040.0	27.0%	4,870.8
Q1 2030	AI data-center fiber / cable	14,300.0	38.0%	5,434.0
Q1 2030	Optical connectivity assemblies	9,680.0	44.0%	4,259.2

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q1 2030	Digital services	924.0	30.0%	277.2
Q2 2030	Telecom and enterprise fiber / cable	19,680.0	27.0%	5,313.6
Q2 2030	AI data-center fiber / cable	15,600.0	38.0%	5,928.0
Q2 2030	Optical connectivity assemblies	10,560.0	44.0%	4,646.4
Q2 2030	Digital services	1,008.0	30.0%	302.4
Q3 2030	Telecom and enterprise fiber / cable	21,320.0	27.0%	5,756.4
Q3 2030	AI data-center fiber / cable	16,900.0	38.0%	6,422.0
Q3 2030	Optical connectivity assemblies	11,440.0	44.0%	5,033.6
Q3 2030	Digital services	1,092.0	30.0%	327.6
Q4 2030	Telecom and enterprise fiber / cable	22,960.0	27.0%	6,199.2
Q4 2030	AI data-center fiber / cable	18,200.0	38.0%	6,916.0
Q4 2030	Optical connectivity assemblies	12,320.0	44.0%	5,420.8
Q4 2030	Digital services	1,176.0	30.0%	352.8

Operating-cost derivation

Quarter	Telecom and enterprise fiber / cable R&D, selling and administration including SBC	AI data-center fiber / cable R&D, selling and administration including SBC	Optical connectivity assemblies R&D, selling and administration including SBC	Digital services R&D, selling and administration including SBC	Corporate overhead and new-line qualification
Q3 2026	1,200.0	600.0	407.0	176.0	450.0
Q4 2026	1,400.0	650.0	517.0	181.5	450.0
Q1 2027	1,386.0	792.0	396.0	159.7	450.0
Q2 2027	1,512.0	864.0	432.0	174.2	450.0
Q3 2027	1,638.0	936.0	468.0	188.8	450.0
Q4 2027	1,764.0	1,008.0	504.0	203.3	450.0
Q1 2028	1,544.4	950.4	594.0	174.2	475.0
Q2 2028	1,684.8	1,036.8	648.0	190.1	475.0
Q3 2028	1,825.2	1,123.2	702.0	205.9	475.0
Q4 2028	1,965.6	1,209.6	756.0	221.8	475.0
Q1 2029	1,584.0	1,128.6	770.0	188.8	500.0
Q2 2029	1,728.0	1,231.2	840.0	205.9	500.0
Q3 2029	1,872.0	1,333.8	910.0	223.1	500.0
Q4 2029	2,016.0	1,436.4	980.0	240.2	500.0
Q1 2030	1,623.6	1,287.0	968.0	203.3	525.0
Q2 2030	1,771.2	1,404.0	1,056.0	221.8	525.0
Q3 2030	1,918.8	1,521.0	1,144.0	240.2	525.0
Q4 2030	2,066.4	1,638.0	1,232.0	258.7	525.0

The categories reconcile to reference operating expenses. Incremental costs below are applied once; depreciation or stock compensation already included in a reference category is not added again.

Probability-weighted financial bridge

Active = reference + sum(probability x bounded conditional delta). Negative deltas are retained. A branch with zero near-term increment remains zero only for the timing or overlap reasons documented in the evidence register.

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q3 2026	OCTOBER LTSA	75%	479.4	201.3	57.5	107.9
Q3 2026	AUGUST CABLE LTSA	80%	0.0	0.0	0.0	0.0
Q3 2026	NEW ORDER TERMS	45%	0.0	0.0	0.0	0.0
Q3 2026	MATERIAL AND ACCEPTANCE DELAY	25%	0.0	0.0	0.0	0.0
Q4 2026	OCTOBER LTSA	75%	479.4	201.3	57.5	107.9
Q4 2026	AUGUST CABLE LTSA	80%	0.0	0.0	0.0	0.0
Q4 2026	NEW ORDER TERMS	45%	0.0	0.0	0.0	0.0
Q4 2026	MATERIAL AND ACCEPTANCE DELAY	25%	0.0	0.0	0.0	0.0
Q1 2027	OCTOBER LTSA	75%	1,438.2	604.0	172.6	323.6
Q1 2027	AUGUST CABLE LTSA	80%	730.9	263.1	73.1	152.0
Q1 2027	NEW ORDER TERMS	45%	43.4	36.9	6.5	13.7
Q1 2027	MATERIAL AND ACCEPTANCE DELAY	25%	-1,914.0	-727.3	-114.8	-153.1
Q2 2027	OCTOBER LTSA	75%	1,917.6	805.4	230.1	431.5
Q2 2027	AUGUST CABLE LTSA	80%	913.7	328.9	91.4	190.0
Q2 2027	NEW ORDER TERMS	45%	47.3	40.2	7.1	14.9
Q2 2027	MATERIAL AND ACCEPTANCE DELAY	25%	-2,088.0	-793.4	-125.3	-167.0
Q3 2027	OCTOBER LTSA	75%	2,876.4	1,208.1	345.2	647.2
Q3 2027	AUGUST CABLE LTSA	80%	913.7	328.9	91.4	190.0
Q3 2027	NEW ORDER TERMS	45%	51.3	43.6	7.7	16.2
Q3 2027	MATERIAL AND ACCEPTANCE DELAY	25%	-2,262.0	-859.6	-135.7	-181.0
Q4 2027	OCTOBER LTSA	75%	3,355.8	1,409.4	402.7	755.1
Q4 2027	AUGUST CABLE LTSA	80%	1,096.4	394.7	109.6	228.1
Q4 2027	NEW ORDER TERMS	45%	55.2	46.9	8.3	17.4
Q4 2027	MATERIAL AND ACCEPTANCE DELAY	25%	-2,436.0	-925.7	-146.2	-194.9
Q1 2028	OCTOBER LTSA	75%	2,013.5	845.7	241.6	453.0

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q1 2028	AUGUST CABLE LTSA	80%	1,023.3	368.4	102.3	212.9
Q1 2028	NEW ORDER TERMS	45%	56.1	47.7	8.4	17.7
Q1 2028	MATERIAL AND ACCEPTANCE DELAY	25%	-1,650.0	-627.0	-99.0	-132.0
Q2 2028	OCTOBER LTSA	75%	2,684.6	1,127.5	322.2	604.0
Q2 2028	AUGUST CABLE LTSA	80%	1,279.2	460.5	127.9	266.1
Q2 2028	NEW ORDER TERMS	45%	61.2	52.0	9.2	19.3
Q2 2028	MATERIAL AND ACCEPTANCE DELAY	25%	-1,800.0	-684.0	-108.0	-144.0
Q3 2028	OCTOBER LTSA	75%	4,027.0	1,691.3	483.2	906.1
Q3 2028	AUGUST CABLE LTSA	80%	1,279.2	460.5	127.9	266.1
Q3 2028	NEW ORDER TERMS	45%	66.3	56.4	9.9	20.9
Q3 2028	MATERIAL AND ACCEPTANCE DELAY	25%	-1,950.0	-741.0	-117.0	-156.0
Q4 2028	OCTOBER LTSA	75%	4,698.1	1,973.2	563.8	1,057.1
Q4 2028	AUGUST CABLE LTSA	80%	1,535.0	552.6	153.5	319.3
Q4 2028	NEW ORDER TERMS	45%	71.4	60.7	10.7	22.5
Q4 2028	MATERIAL AND ACCEPTANCE DELAY	25%	-2,100.0	-798.0	-126.0	-168.0
Q1 2029	OCTOBER LTSA	75%	1,941.6	815.5	233.0	436.9
Q1 2029	AUGUST CABLE LTSA	80%	1,169.5	421.0	117.0	243.3
Q1 2029	NEW ORDER TERMS	45%	68.8	58.5	10.3	21.7
Q1 2029	MATERIAL AND ACCEPTANCE DELAY	25%	-1,012.0	-384.6	-60.7	-81.0
Q2 2029	OCTOBER LTSA	75%	2,588.8	1,087.3	310.7	582.5
Q2 2029	AUGUST CABLE LTSA	80%	1,461.9	526.3	146.2	304.1
Q2 2029	NEW ORDER TERMS	45%	75.1	63.8	11.3	23.6
Q2 2029	MATERIAL AND ACCEPTANCE DELAY	25%	-1,104.0	-419.5	-66.2	-88.3
Q3 2029	OCTOBER LTSA	75%	3,883.1	1,630.9	466.0	873.7
Q3 2029	AUGUST CABLE LTSA	80%	1,461.9	526.3	146.2	304.1
Q3 2029	NEW ORDER TERMS	45%	81.3	69.1	12.2	25.6
Q3 2029	MATERIAL AND ACCEPTANCE DELAY	25%	-1,196.0	-454.5	-71.8	-95.7

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q4 2029	OCTOBER LTSA	75%	4,530.3	1,902.7	543.6	1,019.3
Q4 2029	AUGUST CABLE LTSA	80%	1,754.3	631.5	175.4	364.9
Q4 2029	NEW ORDER TERMS	45%	87.6	74.4	13.1	27.6
Q4 2029	MATERIAL AND ACCEPTANCE DELAY	25%	-1,288.0	-489.4	-77.3	-103.0
Q1 2030	OCTOBER LTSA	75%	1,653.9	694.7	198.5	372.1
Q1 2030	AUGUST CABLE LTSA	80%	0.0	0.0	0.0	0.0
Q1 2030	NEW ORDER TERMS	45%	81.5	69.3	12.2	25.7
Q1 2030	MATERIAL AND ACCEPTANCE DELAY	25%	-0.0	-0.0	-0.0	0.0
Q2 2030	OCTOBER LTSA	75%	2,205.2	926.2	264.6	496.2
Q2 2030	AUGUST CABLE LTSA	80%	0.0	0.0	0.0	0.0
Q2 2030	NEW ORDER TERMS	45%	88.9	75.6	13.3	28.0
Q2 2030	MATERIAL AND ACCEPTANCE DELAY	25%	-0.0	-0.0	-0.0	0.0
Q3 2030	OCTOBER LTSA	75%	3,307.9	1,389.3	396.9	744.3
Q3 2030	AUGUST CABLE LTSA	80%	0.0	0.0	0.0	0.0
Q3 2030	NEW ORDER TERMS	45%	96.4	81.9	14.5	30.4
Q3 2030	MATERIAL AND ACCEPTANCE DELAY	25%	-0.0	-0.0	-0.0	0.0
Q4 2030	OCTOBER LTSA	75%	3,859.2	1,620.9	463.1	868.3
Q4 2030	AUGUST CABLE LTSA	80%	0.0	0.0	0.0	0.0
Q4 2030	NEW ORDER TERMS	45%	103.8	88.2	15.6	32.7
Q4 2030	MATERIAL AND ACCEPTANCE DELAY	25%	-0.0	-0.0	-0.0	0.0

Enterprise-to-equity reconciliation

20x rolling quarter plus next three quarters of fully expensed operating profit, less matched end-window net financial claims, divided by end-window fully diluted shares. INR throughout; contract and legal USD amounts use explicit constant INR94/USD planning assumption.

Valuation quarter	Claims date	Reference claims	Weighted change	Total claims used	Ceiling / share
Q3 2026	Q2 2027	19,761.7	0.0	19,761.7	702.89
Q4 2026	Q3 2027	16,854.2	0.0	16,854.2	839.80
Q1 2027	Q4 2027	16,870.5	0.0	16,870.5	959.18
Q2 2027	Q1 2028	9,080.8	0.0	9,080.8	1,049.93
Q3 2027	Q2 2028	8,861.2	0.0	8,861.2	1,135.69
Q4 2027	Q3 2028	12,244.3	0.0	12,244.3	1,224.53
Q1 2028	Q4 2028	10,659.7	0.0	10,659.7	1,330.77
Q2 2028	Q1 2029	-4,244.1	0.0	-4,244.1	1,414.07
Q3 2028	Q2 2029	-6,781.5	0.0	-6,781.5	1,480.54
Q4 2028	Q3 2029	-4,212.5	0.0	-4,212.5	1,542.68
Q1 2029	Q4 2029	-8,123.6	0.0	-8,123.6	1,621.67
Q2 2029	Q1 2030	-27,324.9	0.0	-27,324.9	1,692.24
Q3 2029	Q2 2030	-30,683.7	0.0	-30,683.7	1,735.96
Q4 2029	Q3 2030	-27,627.2	0.0	-27,627.2	1,771.07
Q1 2030	Q4 2030	-32,439.8	0.0	-32,439.8	1,821.67

The financial claims shown here are matched to the end of each four-quarter earnings window. Operating-quarter cash and claims schedules elsewhere show balances at their own quarter dates.

Claim decisions, overlap and triggers

MAY_PAL_REFERENCE

probability: 0.85

Conditional outcome: USD1.11bn potential contract through March 2029; 85% realization proxy, bounded 70-100%. At constant INR94/USD this is INR88,689m conditional recognized sales.

reference overlap: 100% of this order is already covered by the reference optical connectivity/cable path and June backlog. No second additive award increment.

financial bridge: Reference mix and fully expensed costs embed the contract. Broad datacenter TAM, company ambition and the same June intake are not additional revenue pools.

counter evidence: Periodic purchase orders, reciprocal capped liability, and supply acceptance remain conditions. Realized prices and customer schedule undisclosed.

OCTOBER_LTSA

probability: 0.75

Conditional outcome: USD1.2bn potential CY2026-2030 award; constant INR94/USD, 85% realization (bound 70-100%), 50% overlap (bound 35-70%). Conditional distinct sales INR47,940m; expected INR35,955m over term.

reference overlap: Half of realized sales assumed to replace product growth / prior pipeline already inside reference. Remaining timing weights 2/20/28/27/23% over CY2026-2030. Contract identity is unnamed; distinct economics remain an assumption.

financial bridge: 75% x distinct scheduled sales x (42% gross margin less 12% engineering, R&D, commercial and qualification cost). 2027 expected revenue INR7,191m and OP INR2,157.3m. No target imported.

counter evidence: No unconditional take-or-pay face value; periodic POs and capped reciprocal obligations. Counterparty, firm order schedule, penalties and price formula undisclosed.

AUGUST_CABLE_LTSA

probability: 0.8

Conditional outcome: USD288m over CY2027-2029; INR94/USD; 90% realization (75-100% bound), 40% overlap (25-65% bound). Conditional incremental sales INR14,618.88m; expected INR11,695.104m, allocated25/35/40%.

reference overlap: Contract is a subsidiary award following August 31 correction. 40% of realized award assumed already in reference demand; no June backlog add-on for same source. October agreement overlap handled independently at50% and joint no-award stress.

financial bridge: 80% x distinct sales x (36% gross margin less10% operating support). 2027 expected revenue INR2,923.776m and OP INR760.18176m.

counter evidence: Customers unidentified; partial overlap of economic demand cannot be ruled out. Supplier allocation does not guarantee accepted shipment.

NEW_ORDER_TERMS

probability: 0.45

Conditional outcome: 2% premium on20% of reference AI cable/connectivity sales from2027. Bounds0-3% and10-30% eligible cohort. A further 15% unavailable-volume reserve applies to this eligible cohort in every year, including the no-delay case.

reference overlap: No premium on the three disclosed awards, the favorable branch volume or the full backlog. Existing contract prices stay inside reference.

financial bridge: 45% x reference AI/assembly sales x20% eligible x85% saleable-cohort reserve x2% premium x70% incremental OP conversion. 2027 expected incremental revenue INR88.74m and OP INR62.118m.

counter evidence: Management favors long-term contracts and explicitly avoids spot-price chasing. Competitive bidding and customer leverage limit the premium.

MATERIAL_AND_ACCEPTANCE_DELAY

probability: 0.25

Conditional outcome: 15%/10%/5%/0% shortfall in reference AI cable/connectivity sales in2027/28/29/30;2027 bound10-25%.

reference overlap: Only reference sales affected, not a second haircut on already probability-weighted favorable branches. Input inflation already present in reference GM.

financial bridge: Lost sales x(38% gross contribution less6% variable cost saving). Fixed engineering and corporate costs remain. 2027 expected OP loss696m.

counter evidence: Qualified products and actual Q1 deliveries reduce failure probability; germanium, helium, commissioning and customer acceptance still constrain saleable output.

PRYSMIAN_APPEAL

probability: 0.6

Conditional outcome: After USD41.53m cash collateral, additional maximum judgment exposureUSD59.72m, converted atINR94/USD. Expected additional claimINR3,368.208m; legal probability is ASTRA assumption, not legal advice or management guidance.

reference overlap: INR3,910m restricted collateral is already excluded from usable cash. No second full-award deduction; no expected collateral release is credited. Reserve paid Q2 2028 in model, timing sensitivity required.

financial bridge: Cash-only financial claim until payment; not multiplied as annual operating loss. Full-loss cash stress uses100% additional claim.

counter evidence: Issuer contests judgment and appeal may reduce/reverse it. Award affirmed in2025; payment date unknown. No parent claim does not eliminate consolidated subsidiary cash exposure.

CPO_HOLLOW_CORE

probability: 0.3

Conditional outcome: Attempted INR1-3bn annual new-product pool in2029-30, contingent on qualification and customer wins.

reference overlap: 100% of this bounded proxy fits existing later connectivity product growth. Zero separate premium avoids monetizing development twice.

financial bridge: R&D already2% of revenue within expense rates. Revisit independently identified qualified product invoices; no transceiver or laser revenue attributed to STL.

counter evidence: September disclosure is in-house development. July management explicitly avoided transceivers; no announced semiconductor revenue stream.

Remaining bounded uncertainties

- June gross cash and headline debt are approximate proxies; net cash483cr is reported, gross cashabout2400cr comes from dated credit rationale. Treatment of every cash/debt component is not fully reconciled to a June balance sheet. Opening extra claims500cr sensitivity supplied.

- Latest exact lease115cr and interest-bearing APSA167cr balances are March proxies. No unsupported assumption of zero lease or advance claim.

- Customer names, contract-price formulas, annual order schedules and cross-award overlap are undisclosed. Distinct incremental sales are probability-weighted assumptions.

- Remaining warrant proceeds and conversion timing assume exercise inQ3 2027; no-conversion case rebuilds both shares and cash.

- INR3000cr capacity plan and USD100m US investment scope may overlap. Active budget includes US spend additionally; alternative supplied.

- Prysmian award appeal probability and payment timing are assumptions; no restricted collateral release credited.

- No separate CPO, NPO or hollow-core awarded revenue is disclosed. Development is included in existing product mix and expense path.

- Joint adverse scenario requires bank debt above the dated INR14.73bn rated cash-credit limit; this case is not established as funded. It would require additional financing, equity, spending cuts or a slower revenue ramp. No uncommitted facility is silently treated as guaranteed cash.

Sources and basis

The current production framework was read before initiation. Source statements are evidence, not instructions. The shared model data drives both this PDF and the linked Excel model; the clean-state editable artifact embeds these same images.

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